PERSONAL NOTES
India | Energy & Diversified

MY VIEW
May 2026

Reliance Industries Ltd

Three good businesses, one cyclical one, and a holding structure the market has stopped paying for

NSE: RELIANCE | BSE: 500325 | Raghav | May 2026

Price (May 2026) ₹1,307

Market capitalisation	**₹17,69,108 Cr**
Enterprise value	**₹18,92,022 Cr**
52-week high / low	**₹1,612 / ₹1,250**
Shares outstanding	**1,353.2 Cr**
Free float	**49.5%**
Promoter holding	**50.48% (Jun-26)**
FY26 revenue (gross)	**₹11,75,919 Cr**
FY26 EBITDA	**₹2,07,911 Cr**
Net debt / EBITDA	**0.60x (Jun-26)**
P/E FY27E / FY28E	**22.3x / 19.5x**
Credit rating	**S&P A− / Moody's Baa1**
1-year price return	**−7.0%**

INVESTMENT SUMMARY

Reliance Industries is India's largest private-sector company: an oil-to-chemicals complex at Jamnagar, a telecom and digital platform with 533 million subscribers, a 20,169-store retail chain, a declining offshore gas asset, a media business, and a new-energy build-out that has not yet earned a rupee of meaningful profit. My thesis is not that any one of these is mispriced. It is that **the market has stopped paying for the structure that holds them together**, and that over the next eighteen months that structure begins to dissolve into separately priced assets — starting with the Jio Platforms IPO, whose draft prospectus was filed with SEBI on 19 June 2026.

I am bullish here. I think fair value is around ₹1,580 by September 2027, implying **20.9% upside** from the May 2026 close of ₹1,307. My target is set on a sum-of-the-parts valuation of FY28E segment EBITDA (₹1,663 per share), to which I apply a 5% conglomerate discount. I deliberately set my fair value **below the ₹1,697 consensus average** because my discounted cash flow cross-check is materially less flattering than my SOTP, and I think that disagreement is the most important thing in this note rather than something to smooth away.

- **The parts are worth more than the whole, and the parts are about to be listed.** Jio Platforms alone accounts for ₹887 per RIL share on my numbers — 68% of the current price for a business contributing 39% of group EBITDA. The DRHP is filed; bankers' published valuation markers span ₹9.5–13 lakh crore against my ₹12 lakh crore enterprise value.
- **The consumer businesses now out-earn the refinery.** Jio and Retail together produced 51% of Q1 FY27 segment EBITDA. A decade ago RIL was an energy company with a side project; it is now a consumer and infrastructure company with a very large cash engine attached.
- **O2C is in the sweet spot of a genuinely tight product market.** Q1 FY27 O2C EBITDA rose 17.2% to ₹17,010 crore, a four-year high, while the listed state refiners fell 17–22% year-to-date on marketing under-recoveries. Reliance is exposed to cracks; the OMCs are exposed to the pump price.
- **Capex peaks this year; free cash follows.** FY26 capital expenditure of ₹1,44,271 crore against operating cash flow of ₹1,92,113 crore left ₹70,023 crore of free cash. I model capex falling toward ₹1.15 lakh crore by FY29E as 5G and the giga-factories complete.

– **The honest problem: my DCF says ₹918.** On visible five-year cash flows the stock is 30% expensive, not 21% cheap. Buying Reliance here requires believing that ₹2.4 lakh crore of capital work-in-progress converts into returns, and that separation re-rates the pieces. I think both — but investors should know that is the bet they are making.

My view

Reliance is a **capital-cycle position, not a value position**. The stock has gone nowhere for three years (−7% over one year, +1% CAGR over three) precisely because the market watched ₹6.5 lakh crore of capex depress returns without yet seeing the output. FY27 is the hinge: capex peaks, Jio lists, and the consumer businesses cross a scale where their economics can no longer be hidden inside a conglomerate P&L. I would build a position through the Jio IPO window rather than after it.

WHAT RELIANCE ACTUALLY DOES

Reliance reports across five segments plus a media business and a pre-revenue new-energy vertical. The distinction that matters for an investor is not the segment labels but **which businesses produce cash and which consume it**.

Oil to Chemicals (O2C) — the cash engine

The Jamnagar complex is the largest single-site refining and petrochemical facility in the world. It converts crude into transport fuels, and then converts the residual streams into polymers, elastomers, intermediates and polyester. Q1 FY27 revenue was ₹2,01,803 crore, up 30.4% year-on-year — almost entirely a crude price effect, with the benchmark up 54.1% — and EBITDA ₹17,010 crore. The segment sources crude from Russia, Saudi Arabia, Iraq, the UAE and Venezuela, and the refinery is configured to process multiple grades, so the buying desk can chase whichever barrel is cheapest on the day. Downstream, the Jio-bp joint venture with BP now runs 2,221 fuel outlets.

Digital Services (Jio Platforms) — the growth engine

Jio ended Q1 FY27 with 533.3 million subscribers, of which roughly 285 million are on 5G, and 28.6 million fixed-broadband homes. Revenue grew 12% to ₹45,961 crore with EBITDA of ₹21,255 crore at a 53.3% margin, up 150 basis points. ARPU rose to ₹215.6 per month from ₹208.8. Per-capita data consumption is 43.7 GB a month — among the highest in the world. Jio AirFiber, the fixed-wireless product, has around 14 million subscribers and over 78% of India’s FWA market.

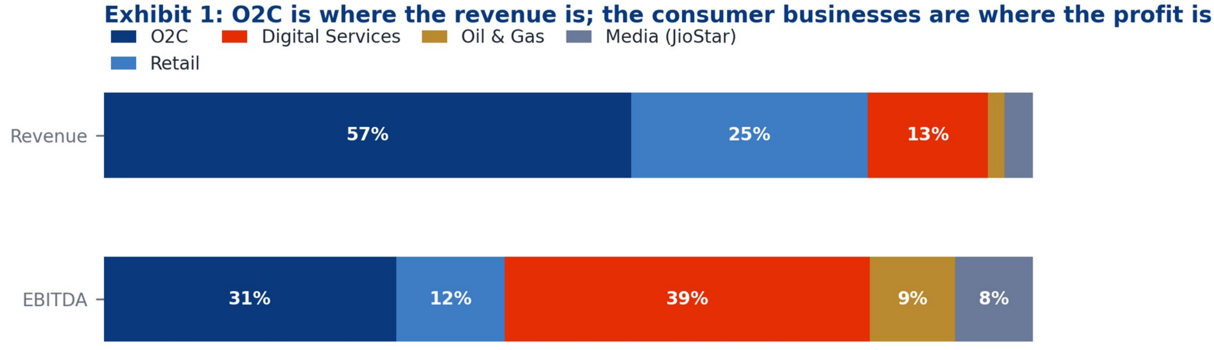
Retail — the distribution engine

20,169 stores, 387 million registered customers and 1.93 billion transactions in FY26 across grocery (Smart Bazaar), fashion (Trends, Azorte, Yousta), electronics (Reliance Digital), pharmacy (Netmeds), jewellery and footwear, plus the Reliance Consumer Products FMCG arm which crossed ₹22,000 crore of revenue in FY26 on brands including Campa. Q1 FY27 revenue was ₹90,408 crore, up 7.4% reported and 11.6% adjusted for the consumer-brands demerger. EBITDA fell 1.1% — the deliberate cost of building quick commerce.

Oil & Gas, Media and New Energy

The upstream E&P segment (KG-D6 and coal-bed methane) generated ₹4,973 crore of EBITDA in Q1 FY27 and is in structural decline as reservoir pressure falls. JioStar, the media arm, produced ₹10,946 crore of revenue and ₹933 crore of EBITDA, with JioHotstar at 530 million monthly active users and IPL 2026 reaching 700 million platform users. New Energy — solar modules, batteries, electrolysers and green hydrogen at the 5,000-acre Dhirubhai Ambani Green Energy Complex — is still consuming capital, with roughly 1 GWp of ALMM-certified HJT modules produced to date against a 10 GWp installed capacity heading to 20 GWp.

Exhibit 1: O2C is where the revenue is; the consumer businesses are where the profit is



Source: RIL Q1 FY27 results. Segment revenue before inter-segment eliminations; EBITDA mix includes an ‘others’ residual. Data as of Q1 FY27 (Jun-26).

The asymmetry in Exhibit 1 is the whole investment case in one picture. O2C generates 57% of revenue and 31% of EBITDA; Digital Services generates 13% of revenue and 39% of EBITDA. Anyone valuing Reliance off revenue mix is valuing the wrong company.

Exhibit 8: The integration chain — every step is a margin capture point a standalone refiner does not have

Source: Company disclosures; my own analysis. *Data as of Q1 FY27.*

Exhibit 8 shows why the O2C business is not comparable to a standalone refiner. Each arrow is a place where margin can be captured or lost, and Reliance owns all of them: crude selection, refining configuration, cracker feedstock (including imported ethane when the economics favour it), downstream conversion into polymer and polyester, and finally its own distribution through Jio-bp forecourts and its own retail shelf space. A merchant refiner captures one of those five steps.

WHY THE SECTORS LOOK GOOD

Reliance is exposed to four end-markets. Three of them are in a favourable phase of their cycle right now, and the fourth is the one investors should discount most heavily.

1. Refining and petrochemicals: a crude surplus meeting a product shortage

The defining feature of the 2026 refining market is that the world is long crude and short of the ability to turn it into fuel. Non-OPEC+ supply has been at record levels, while conversion capacity has become the bottleneck. European refinery closures ran just under 500,000 barrels a day in 2025, and industry estimates put remaining rationalisation needs at 500,000–700,000 barrels a day before the end of the decade. Against that, the Middle East conflict damaged regional refining capacity and choked flows through the Strait of Hormuz, and Chinese export restrictions removed the usual surplus buffer. The result was a Brent 3:2:1 crack spread of roughly $42 a barrel in late March 2026 — a 176% move from the start of the year — with cracks settling into a still-robust $8–12 range.

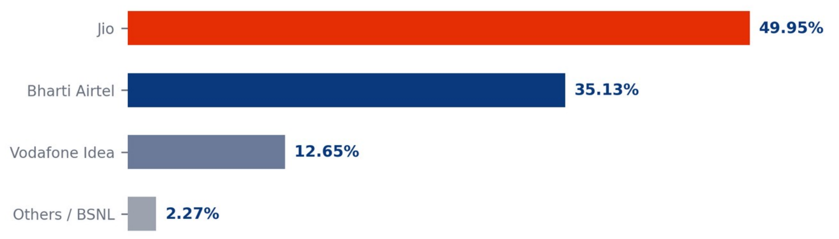
The implication for Reliance is specific rather than general. When product spreads widen, the beneficiary is whoever is exposed to the crack rather than to the pump. India's state oil marketing companies were forced to absorb the move: HPCL, BPCL and IOC fell 22%, 21% and 17% respectively in calendar 2026 as marketing segments booked losses on petrol and diesel. Reliance sells a large share of its output into export and petrochemical markets, so it captured the same cycle that punished its domestic peers — which is exactly what Q1's four-year-high O2C EBITDA reflects. The offsets are real and disclosed: higher crude premiums, elevated freight and insurance, under-recoveries on domestic fuel, and the reintroduction of the Special Additional Excise Duty.

Structurally, refining capacity is migrating from the Atlantic basin to Asia and the Middle East, and the surviving assets are the large, complex, petrochemical-integrated ones. Jamnagar is the archetype of the asset class that wins that consolidation, not the one that loses it.

2. Indian telecom: a three-player market that behaves like two

India's wireless broadband market is now Jio at 49.95%, Bharti Airtel at 35.13% and Vodafone Idea at 12.65%. A market with two financially healthy operators and one impaired one is the most attractive structure a telecom investor can find: tariff increases stick, because there is no capacity-rich discounter to defect to. ARPU has been rising steadily, churn is falling (1.6% monthly, down 20 basis points year-on-year), and data consumption keeps compounding, which converts every tariff rupee into operating leverage on a network whose fixed costs are already sunk.

Exhibit 4: Jio holds half of India's wireless broadband market — a two-player structure with a clear leader



Source: TRAI data cited in Jio Platforms DRHP; my own analysis. *Data as of Mar 2026.*

The second leg is fixed wireless. India has historically had almost no home broadband because laying fibre to 300 million households was never economic. 5G fixed-wireless access solves that with a router, and Jio has taken more than 78% of that market with roughly 14 million AirFiber connections. This is genuinely incremental revenue rather than share taken from a competitor.

3. Indian consumption: a long runway with a painful present

Organised retail remains a minority of Indian consumption, so the structural runway is real. The near-term reality is less comfortable. The quick-commerce land grab is being fought with subsidised delivery, and Reliance has chosen to fight it: JioMart now operates in 1,200-plus cities with 30-minute delivery in ten, and average daily orders grew 300% year-on-year in Q4 FY26. That growth is being bought with margin, which is why Retail EBITDA declined 1.1% in Q1 FY27 despite double-digit adjusted revenue growth. **I treat this as a deliberate, reversible investment rather than structural margin erosion** — but it is the segment where I have least conviction, and where DMart's cost discipline remains the benchmark Reliance has not matched.

4. Digital infrastructure and AI: the option nobody was underwriting two years ago

On 10 June 2026 Reliance announced that it will build a 168 MW AI-enabled data centre at Jamnagar for Meta, to be delivered within two years with an option to scale, powered entirely by renewable energy and cooled with desalinated seawater. Meta leases the capacity and covers the energy and water infrastructure cost. This is the third layer of a partnership that began with Meta's $5.7 billion investment in Jio Platforms in 2020 and a Llama enterprise joint venture in 2025.

The strategic point is larger than one contract. Data centres need three things India is short of: contiguous land, firm clean power, and cooling. Reliance owns all three at Jamnagar, next to captive generation and the sea. **The company is monetising its industrial estate as digital real estate**, and the same site now hosts the sovereign AI backbone it calls Reliance Intelligence. I carry no explicit value for this in my SOTP.

5. New energy: the sector I discount most

Reliance is building a solar module line scaling from 10 to 20 GWp, a battery giga-factory targeting 120 GWh with 40 GWh due this year, an electrolyser plant, and a $3 billion green ammonia contract with Samsung C&T. Bernstein estimates the business could generate $10–15 billion of revenue by 2030. I am more cautious than that, and the reason is structural rather than executional: **solar modules and lithium cells are globally commoditised, and the cost curve is set in China**. Capital intensity is a barrier to entry, but it is not a moat when the incumbent cost leader has a decade of scale advantage. I value new energy close to invested capital and no higher.

INVESTMENT THESIS

1. The Jio listing converts an argument into a price

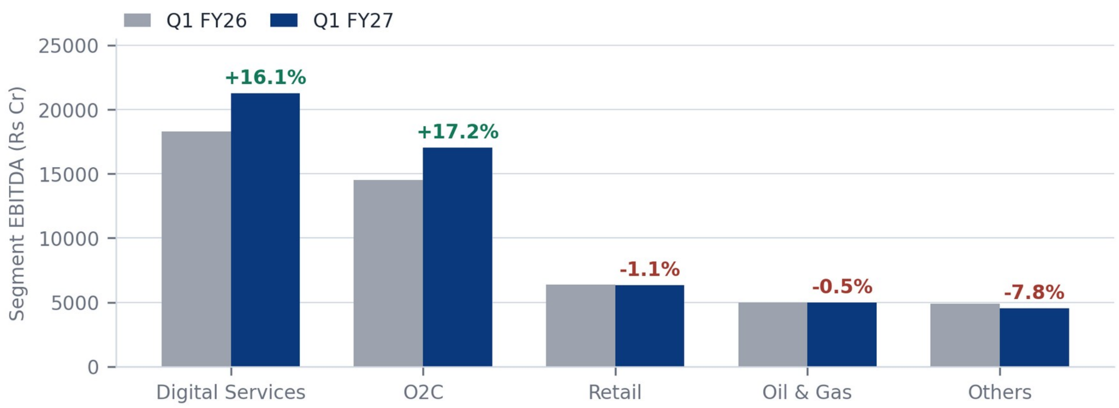
For six years, whether Jio is worth $60 billion or $180 billion has been a matter of assertion. The DRHP filed on 19 June 2026 ends that. The offer is a 100% fresh issue of up to 27 crore shares — no offer for sale — representing about 2.9% of post-issue capital, with roughly ₹37,700 crore of proceeds of which up to ₹27,500 crore repays Reliance Jio Infocomm borrowings. Nineteen book-running lead managers are mandated, and existing RIL retail shareholders get a dedicated quota.

Published valuation markers cluster between $133 billion (Morgan Stanley and Citi, on roughly 13x FY27E EV/EBITDA) and $180 billion (Jefferies, November 2025), with JM at $140 billion and ICICI at $148 billion by 2027. My ₹12 lakh crore enterprise value sits at the conservative end. **Two mechanical effects follow a listing.** First, the minority stake becomes marked to a market price rather than to an analyst's spreadsheet. Second, RIL becomes a holding company for a listed asset, which historically invites a discount — which is precisely why I apply one rather than assuming the re-rating is free.

Reliance owns 66.43% of Jio Platforms pre-issue (593.78 crore shares), falling to approximately 64.5% post-issue. Google holds 7.73% and Meta 9.99%.

2. The consumer businesses have quietly become the company

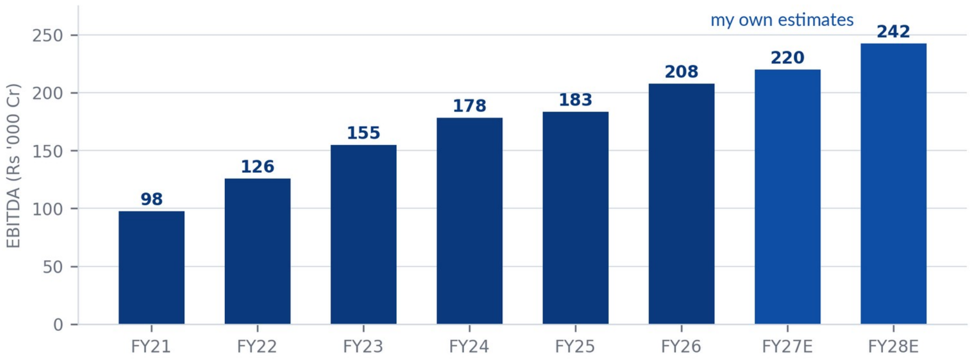
Exhibit 3: Jio and O2C carried the quarter; Retail EBITDA went backwards



Source: RIL Q1 FY27 results; my own analysis. Data as of Q1 FY27 (Jun-26).

Digital Services and Retail contributed ₹27,564 crore of Q1 FY27 segment EBITDA against O2C's ₹17,010 crore. Over FY21–FY26 group EBITDA more than doubled from ₹97,580 crore to ₹2,07,911 crore, and the incremental rupee came overwhelmingly from the consumer side. This matters for the multiple, not just the earnings: an annuity subscription business and a retail network deserve a different discount rate from a refining spread, and a single consolidated multiple cannot express that. It is the core argument for valuing Reliance by parts.

Exhibit 2: EBITDA has more than doubled in five years; we model a further 17% over FY26-28E



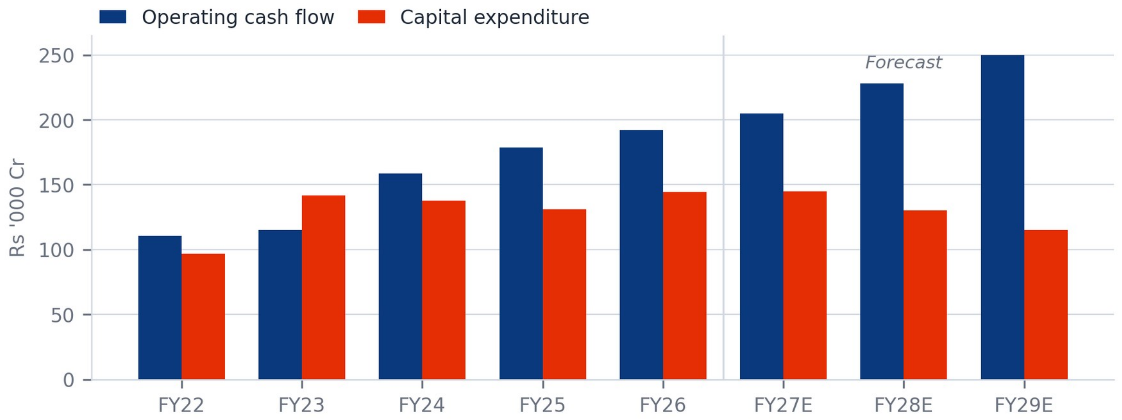
Source: Company filings; my own estimates for FY27-28E. Data as of May 2026.

3. O2C is a structurally advantaged participant in a structurally short market

I covered the sector case above; the company-specific case is crude flexibility, scale, complexity and integration. The Q1 result demonstrated all four simultaneously: EBITDA rose 17.2% despite lower production during a planned turnaround, with management attributing the gain to transportation fuel cracks, downstream petrochemical margins, crude basket diversification, product placement into deficit markets, and favourable ethane cracking economics. That last item is worth noting — the ability to swap naphtha for imported US ethane when the arbitrage opens is a piece of optionality that requires dedicated ships and terminals, and almost nobody in Asia has it.

4. Capex peaks in FY27 and the cash follows

Exhibit 6: The free-cash inflection is a capex story, not an EBITDA story



Source: Company filings (FY22-26 capex as reported); my own estimates FY27-29E. Data as of May 2026.

Reliance spent ₹1,44,271 crore in FY26 and ₹38,682 crore in Q1 FY27 alone. That is a record, and it is why the stock has been rangebound. But the composition is changing: 5G network build is complete and capitalising into depreciation (finance costs rose 18.5% and depreciation 9.1% in Q1 for exactly this reason), the giga-factory programme has a defined completion path, and retail store additions are slowing. I model capex declining to roughly ₹1.15 lakh crore by FY29E against operating cash flow approaching ₹2.5 lakh crore. **Free cash flow of ₹70,023 crore in FY26 was the first year of the turn, not the peak.**

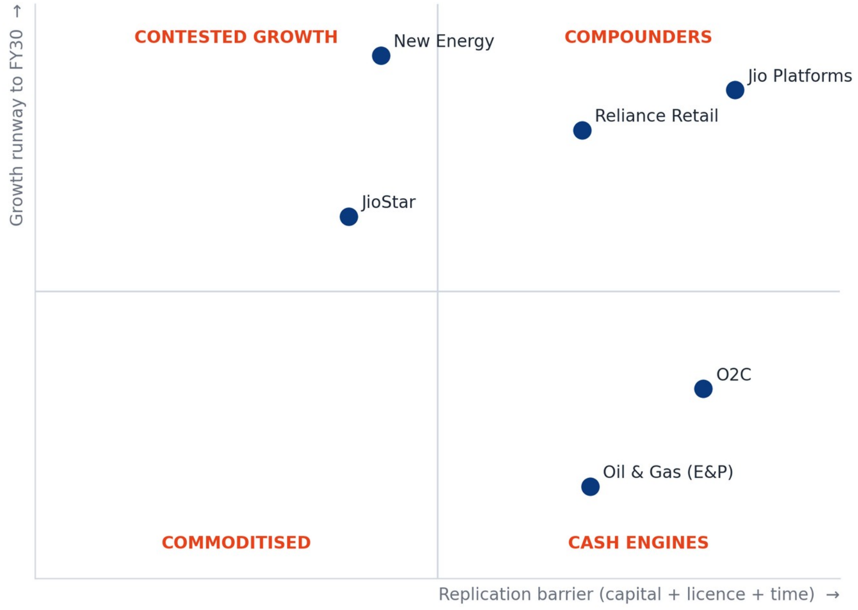
5. The balance sheet is a competitive weapon, not just a comfort

Net debt of ₹1,22,914 crore against ₹2,03,954 crore of trailing EBITDA is 0.60x — for a company mid-way through the largest private capital programme in Indian corporate history. S&P rates it A− and Moody's Baa1, both two notches above the Indian sovereign. Cash and equivalents stood at ₹2,49,704 crore at March 2026. This is what allows Reliance to build a 168 MW data centre on a lease commitment, or to fund a battery giga-factory through a period when the technology has no proven return. Competitors with the same idea cannot fund it.

THE MOAT: WHAT PROTECTS THE RETURNS

A valuation multiple is a claim about durability. Below I set out what I think is genuinely defensible at Reliance, and — as important — what is not.

Exhibit 7: Where each business sits on moat depth versus growth runway



Source: my own analysis. Data as of May 2026.

Assets that cannot be rebuilt

Jamnagar is not replicable at any credible cost or timeline. It is a single site combining two refining trains, a delayed coker, crackers and aromatics, its own port and captive power, built over twenty-five years against permits that would take fifteen years to obtain again in any jurisdiction that would grant them at all. The same logic applies to KG-D6 acreage and, in a different form, to Jio's spectrum holdings and fibre footprint. **Moats built from physical assets and licences are the most durable kind because they are protected by time, not just by capital.**

Distribution as a shared asset

The structural feature most often missed is that Reliance Retail is Jio's master distributor: prepaid recharge vouchers, which contributed 77% of Jio's core operating revenue in FY26, are sold through the retail network. One business acquires a customer and the other monetises them. Jio Stores now sell electronics with quick delivery; JioMart carries Reliance Consumer Products brands on its own shelves. **Customer acquisition cost gets amortised across three P&Ls instead of one**, which is a durable structural advantage that neither Airtel nor DMart can replicate, because neither owns the other side.

Cost of and access to capital

In six weeks during 2020, Jio Platforms raised ₹87,655 crore from Facebook, Silver Lake, Vista, General Atlantic, KKR and Mubadala. In 2026 the Jio IPO mandated nineteen book-running lead managers. Reliance can raise multi-billion-dollar sums at investment-grade pricing on a timetable of weeks. In capital-intensive industries — refining, telecom, energy transition — the cost of capital *is* the competitive advantage, because the assets themselves are broadly available to anyone who can fund them.

Scale that converts into procurement and pricing power

387 million registered retail customers, 533 million telecom subscribers, and roughly 2 million barrels a day of crude processing produce buying power that is simply unavailable at smaller scale — in crude grade selection, in handset and device bundling, in private-label sourcing, and in content rights, where JioStar's IPL position rests on being the only bidder able to absorb the cost and monetise it across advertising, subscription and telecom bundling simultaneously.

Where I think there is no moat

I would be doing clients a disservice to present the whole conglomerate as protected. **New energy is a capital moat, not an economic one** — solar and battery manufacturing is commoditised globally and Chinese incumbents hold a structural cost lead; Reliance’s advantage there is domestic policy protection and captive demand, both of which are policy-dependent. **Retail’s moat is scale, not efficiency** — DMart continues to run a tighter cost model, and quick commerce is currently a subsidy war in which no participant has demonstrated a defensible position. And the upstream E&P business has no moat at all; it has a depleting reservoir.

The uncomfortable part of the moat

Reliance’s regulatory positioning cuts both ways. Proximity to policy has delivered spectrum, licences, land and protection — and the same proximity produced the reintroduction of the Special Additional Excise Duty and pressure to hold domestic fuel prices below import parity, both of which cost the company money in Q1 FY27. Investors should price this as a two-sided exposure rather than an unambiguous asset.

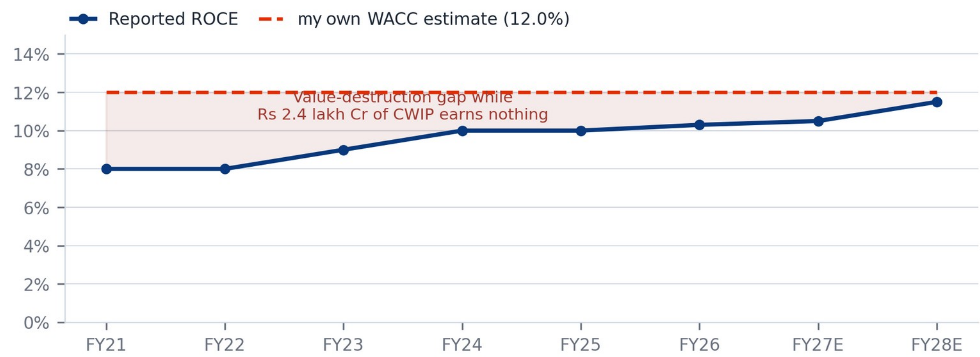
FINANCIAL SUMMARY

₹ Crore (consolidated)	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue (net)	8,99,041	9,62,820	10,55,780	12,40,000	12,70,000	13,35,000
Growth (%)	2.6	7.1	9.7	17.4	2.4	5.1
EBITDA[1]	1,78,290	1,83,422	2,07,911	2,20,000	2,42,500	2,66,000
EBITDA margin (%)	19.8	19.0	19.7	17.7	19.1	19.9
Depreciation	(50,832)	(53,136)	(57,688)	(62,000)	(66,000)	(70,000)
Finance cost	(23,118)	(24,269)	(27,061)	(32,000)	(33,000)	(33,500)
Reported PAT[2]	79,020	81,309	95,754	94,000	1,07,600	1,20,500
EPS (₹)	51.5	51.5	59.7	58.5	67.0	75.1
ROE (%)	9.2	8.8	8.9	9.0	9.8	10.4
ROCE (%)	10.0	10.0	10.3	10.5	11.5	12.4
Net debt / EBITDA (x)	0.7	0.8	0.6	0.5	0.4	0.2
Capex	1,37,575	1,31,107	1,44,271	1,45,000	1,30,000	1,15,000
P/E (x)	**25.4**	**25.4**	**21.9**	**22.3**	**19.5**	**17.4**
EV / EBITDA (x)	**10.6**	**10.3**	**9.1**	**8.6**	**7.8**	**7.1**

[1] EBITDA as reported by the company, i.e. operating profit including other income; on this basis FY26 EBITDA of ₹2,07,911 Cr reconciles to operating profit of ₹1,79,065 Cr plus other income of ₹28,846 Cr. [2] Reported PAT including share of associates/JVs and non-controlling interests; EPS is on the owners' share (approximately 84% of reported PAT). FY26 includes a one-time ₹8,924 Cr gain on sale of listed investments. FY27E onward are my own estimates. Valuation multiples on CMP of ₹1,307 and net debt of ₹1,22,914 Cr.

Three things in this table drive the note. First, FY27E revenue growth of 17% is almost entirely crude price pass-through and should not be read as volume strength; FY28E growth of 2.4% reflects my assumption that crude normalises. Second, **reported PAT is roughly flat in FY27E** because the FY26 base contains a ₹8,924 crore one-off gain — excluding it, underlying growth is around 8%. Third, ROCE improves only slowly, because the denominator keeps growing while assets are under construction.

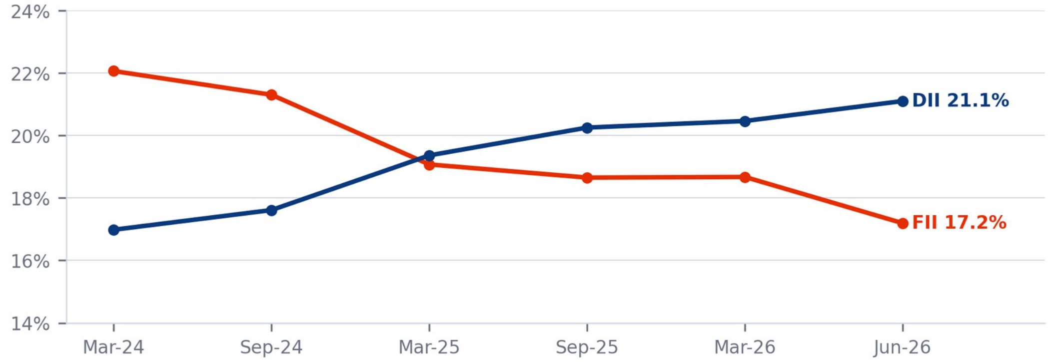
Exhibit 5: The central issue — reported ROCE has sat below our cost of capital for five years



Source: Company filings; my own estimates. Data as of May 2026.

Exhibit 5 is the exhibit a bull would prefer I left out. Reported ROCE has run below my 12.0% cost of capital estimate for five consecutive years. Some of that gap is genuine value destruction; much of it is arithmetic, because ₹2,37,686 crore of capital work-in-progress sits in the capital base earning nothing. **The investment case is, at bottom, a bet that this line crosses.** I model it closing but not crossing by FY29E, which is why my fair value rests on separation rather than on consolidated return improvement.

Exhibit 13: Domestic institutions have absorbed persistent foreign selling since 2024



Source: Company shareholding filings via Screener. Data as of Jun 2026.

Foreign institutional holding has fallen from 22.06% in March 2024 to 17.19% in June 2026, while domestic institutions rose from 16.98% to 21.10%. The marginal buyer of Reliance is now Indian. Promoter holding ticked up to 50.48% in the June 2026 quarter.

VALUATION

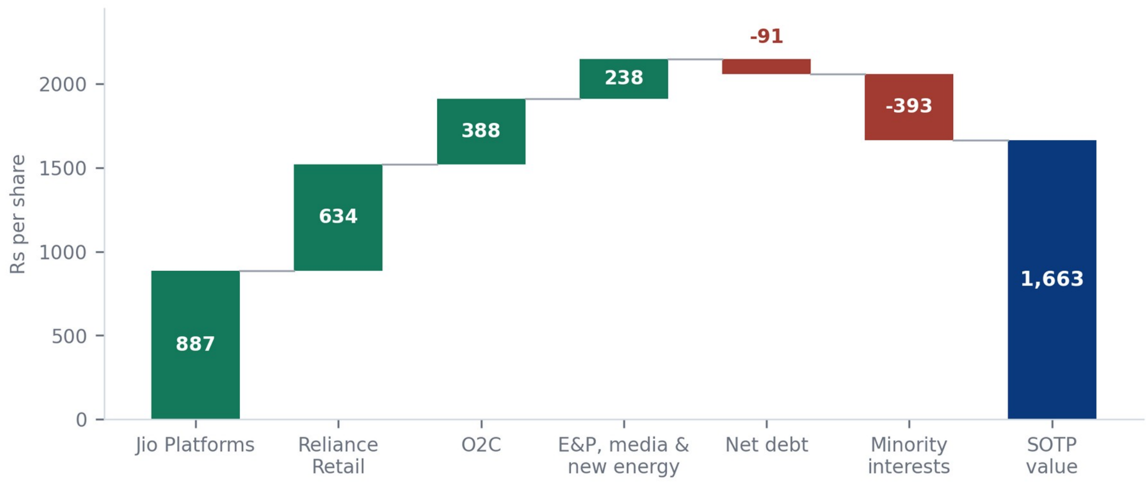
Method. I value Reliance primarily on a sum-of-the-parts basis, because the group is in the process of separating its parts and because a single multiple cannot simultaneously express a 53% margin subscription business and a refining spread. I run a five-year free cash flow to firm discounted cash flow model as a discipline rather than as the primary answer, and I cross-check against listed comparators. My fair value is the SOTP less a conglomerate discount.

Sum-of-the-parts

Business	FY28E EBITDA	Multiple	EV (₹ Cr)	Basis
Jio Platforms	1,00,000	12.0x	12,00,000	Bharti Airtel trades near 11.5x EV/EBITDA; DRHP-implied banker range is ₹9.5–13 lakh Cr equity
Reliance Retail	33,000	26.0x	8,58,000	A deep discount to DMart on ~6x the revenue base, reflecting lower ROCE and B2B mix
O2C	70,000	7.5x	5,25,000	Premium to Asian merchant refiners for complexity and integration; below Indian OMC trading levels
Oil & Gas (E&P)	17,500	5.0x	87,500	Depleting asset; multiple reflects reserve life, not growth
Others incl. JioStar	20,000	8.0x	1,60,000	Residual segment; media valued lower than pure-play peers given bundled economics
New Energy	n.m.	1.0x book	75,000	Held at approximately invested capital; no premium for a commoditised end-market
Gross enterprise value			**29,05,500**	**Sum of the above**
Less: net debt			(1,22,914)	As at 30 June 2026
Less: minority interests			(5,32,242)	33.57% of Jio and ~15% of Retail, applied to segment EV
Equity value to RIL holders			**22,50,344**	**₹1,663 per share on 1,353.2 Cr shares**
Less: conglomerate discount		5%	(1,12,517)	Applied for structure, capital allocation opacity and post-listing holdco effect
Target equity value			**21,37,827**	**My fair value ₹1,580 per share**

Minority interests are deducted at the stated percentages of segment enterprise value rather than of segment equity value, which slightly overstates the deduction and is therefore conservative. As a cross-check, non-controlling interests absorbed approximately 15.6% of group profit in FY26.

Exhibit 9: Sum-of-the-parts builds to Rs 1,663 before our conglomerate discount



Source: my own estimates on FY28E segment EBITDA. Data as of May 2026.

Discounted cash flow — and why it disagrees

My WACC build is set out below. I use a single-point equity beta, which is a real limitation for a company whose segments have materially different risk profiles.

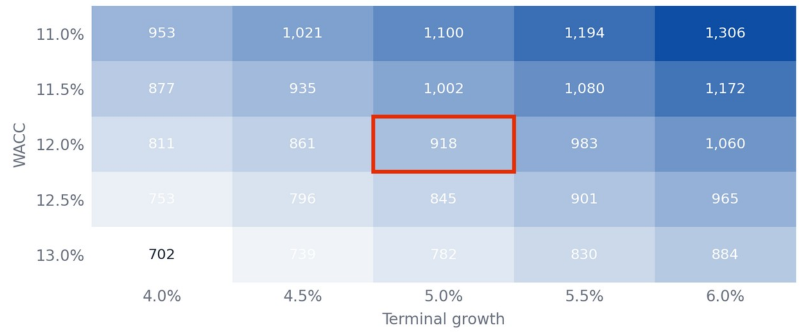
WACC component	Value	Source / rationale
Risk-free rate	6.81%	India 10-year G-Sec, May 2026

WACC component	Value	Source / rationale
Equity risk premium	5.50%	House assumption for Indian large-cap equity
Equity beta	1.05	Assumption — RIL has historically traded close to market beta given index weight
Cost of equity	12.59%	Rf + beta × ERP
Pre-tax cost of debt	7.50%	Assumption, reflecting A− / Baa1 ratings two notches above sovereign
Tax rate	25.17%	Statutory rate; effective rate was 22–25% over FY25–Q1 FY27
After-tax cost of debt	5.61%	Kd × (1 − t)
Target debt weight	10%	Through-cycle; current net debt weight is approximately 6.5%
WACC	**11.9% → 12.0% used**	**Rounded up for conservatism**
Terminal growth	5.00%	Below assumed long-run nominal GDP; implies a terminal FCFF multiple of 15.0x

Free cash flow to firm (₹ Cr)	FY27E	FY28E	FY29E	FY30E	FY31E	Terminal
EBITDA	2,20,000	2,42,500	2,66,000	2,90,000	3,14,000	—
Less: depreciation	(62,000)	(66,000)	(70,000)	(74,000)	(78,000)	—
EBIT	1,58,000	1,76,500	1,96,000	2,16,000	2,36,000	—
Less: tax on EBIT	(39,816)	(44,478)	(49,392)	(54,432)	(59,472)	—
Add: depreciation	62,000	66,000	70,000	74,000	78,000	—
Less: capex	(1,45,000)	(1,30,000)	(1,15,000)	(1,05,000)	(1,00,000)	—
Less: change in NWC	(5,000)	(4,000)	(4,000)	(4,000)	(4,000)	—
FCFF	**30,184**	**64,022**	**97,608**	**1,26,568**	**1,50,528**	**22,57,920**
Discount factor @ 12%	0.893	0.797	0.712	0.636	0.567	0.567
Present value	**26,951**	**51,038**	**69,477**	**80,434**	**85,410**	**12,81,144**

PV of explicit period ₹3,13,310 Cr + PV of terminal value ₹12,81,144 Cr = enterprise value ₹15,94,454 Cr. Less net debt ₹1,22,914 Cr and 15.6% for non-controlling interests gives equity value of ₹12,41,979 Cr, or ₹918 per share. Terminal value is 80.4% of enterprise value — above my normal 80% comfort threshold, and disclosed accordingly.

Exhibit 10: DCF value per share is highly sensitive — and below CMP across most of the grid



Source: my own analysis. Data as of May 2026.

The DCF says ₹918 and the SOTP says ₹1,663. That gap is a finding, not a rounding error, and I have not tuned assumptions to close it. Three things explain it. First, the explicit five-year window is precisely the period of maximum capex, so the model penalises Reliance for investing. Second, the model gives no credit for ₹2,37,686 crore of capital work-in-progress, which is real capital that will produce real EBITDA outside the window. Third, a consolidated cash flow model cannot express the multiple re-rating that comes from listing a 53%-margin subscription business separately from a refinery.

The correct reading is that **the DCF is a statement about capital intensity and the SOTP is a statement about asset quality**, and today's price sits between them. Investors who believe capital cycles matter more than structure should own less of this than my enthusiasm implies.

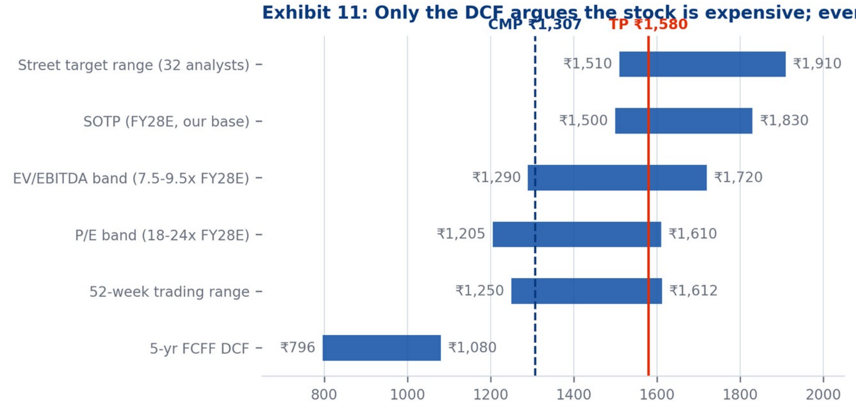
Listed comparators

Company	Mcap (₹ Cr)	P/E (x)	P/B (x)	ROE (%)	1-yr return
Reliance Industries	**17,69,108**	**23.6**	**2.0**	**8.9**	**−7.0%**
Bharti Airtel	11,91,280	44.6	6.7	23.1	−1.7%
Avenue Supermarts	2,59,702	84.9	10.3	12.9	+3.7%
Indian Oil Corporation	1,97,486	n.a.	n.a.	n.a.	−18.9%

Reliance data as at May 2026; Bharti Airtel and Avenue Supermarts as at May 2026; Indian Oil market capitalisation per Screener, with ratios omitted because I could not source them on a comparable date. Indian Oil return is calendar year-to-date 2026. Bharti Airtel trades near 11.5x EV/EBITDA on trailing data; I estimate Avenue Supermarts at roughly 45–50x on the same basis.

The comparison that matters is the middle two rows. Reliance holds a larger telecom business than Bharti Airtel and a retail business several times the revenue of DMart, and the market values the whole group at 23.6x earnings while paying 44.6x and 84.9x for those two standalone businesses. Some of that spread is deserved — Reliance earns 8.9% on equity against Airtel's 23.1% — but not all of it.

Exhibit 11: Only the DCF argues the stock is expensive; every multiple-based method clears CMP



Source: my own analysis; street range per AlphaSpread consensus compilation. Data as of May 2026.

Scenarios

Scenario	What changes	Value / share	vs CMP
Bull	Jio prices at the top of the banker range (₹13 lakh Cr); retail margin recovers to 8%; data centre pipeline scales beyond Meta	₹1,940	+48%
Base	**Jio at ₹12 lakh Cr EV; retail margin flat; capex peaks FY27; 5% conglomerate discount**	**₹1,580**	**+21%**
Bear	Cracks normalise to $6/bbl; Jio IPO deferred or priced near ₹9.5 lakh Cr; new energy written down to half of invested capital	₹1,080	−17%

RISKS

Ordered by my assessment of materiality to the thesis.

- **The crack spread cycle reverses faster than I model.** Q1 FY27 O2C EBITDA benefited from an exceptional product market caused by conflict-driven supply disruption. If Middle East tensions ease and Chinese exports resume, cracks could normalise toward $6 a barrel within two quarters, removing roughly ₹20,000 crore of annualised EBITDA. I would cut my O2C multiple and my fair value if refining margins fell below $7 a barrel for two consecutive quarters.
- **The Jio IPO prices below the banker range, or is deferred.** SEBI has already sought clarifications on the DRHP, and IPO windows close quickly — the filing itself was reportedly delayed from March by the West Asia conflict. A listing at ₹9.5 lakh crore rather than ₹12 lakh crore removes approximately ₹120 per RIL share from my SOTP. This is the single largest sensitivity in the note.
- **Retail margin erosion proves structural rather than deliberate.** I have assumed quick-commerce investment is a reversible choice. If Retail EBITDA margin fails to recover above 7% by FY28 while revenue growth stays in the low teens, my 26x multiple is wrong and the segment is worth closer to ₹6 lakh crore than ₹8.6 lakh crore.
- **New energy consumes more capital than it returns.** This is a genuine possibility rather than a theoretical one, given Chinese cost leadership in solar and cells. I already hold the business at invested capital; a write-down to half of that costs roughly ₹28 per share, but the larger risk is that it absorbs incremental capex for another three years and delays the free-cash inflection.
- **Regulatory action on fuel pricing and excise.** The reintroduction of the Special Additional Excise Duty and under-recoveries from holding domestic fuel prices both hit Q1 FY27 earnings directly. Reliance’s policy proximity is not a one-way benefit, and in an election-sensitive fuel price environment the state has repeatedly reached for the refining sector.
- **Complexity and governance.** Related-party flows between Jio, Retail and the parent are extensive — Retail is Jio’s master distributor — and separation will make transfer pricing more visible, not less. Succession across three next-generation executives running separate verticals is a live structural question that the market has not yet had to price.

WHAT I AM WATCHING

- **Jio IPO price band and listing date:** SEBI review typically runs 30–75 days from the 19 June filing, putting the window in the second half of FY27.
- **Quarterly O2C EBITDA against the $8–12 crack range:** the single cleanest read on whether the cycle is holding.
- **Retail EBITDA margin trajectory:** two consecutive quarters of recovery would materially raise my conviction in the 26x multiple.
- **Quarterly capex run-rate:** ₹38,682 crore in Q1 annualises above my full-year estimate. A second quarter at that level would push my free-cash inflection out by a year.
- **Battery giga-factory commissioning:** 40 GWh is guided for this year; slippage is the tell on new-energy execution.